



**Positive Sum Capital III, L.P.  
(A Delaware Limited Partnership)  
Financial Statements  
December 31, 2025**

To the Partners of  
Positive Sum Capital III, L.P.  
Greenwich, Connecticut



Certified  
Public  
Accountants

## INDEPENDENT AUDITOR'S REPORT

### Opinion

We have audited the accompanying financial statements of Positive Sum Capital III, L.P. (a Delaware Limited Partnership) (the Partnership), which comprise the statement of assets, liabilities and partners' capital, including the schedule of portfolio investments, as of December 31, 2025, and the related statements of operations, changes in partners' capital and cash flows for the period from December 9, 2024 (commencement) through December 31, 2025, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Partnership as of December 31, 2025, and the results of its operations, changes in partners' capital and its cash flows for the period from December 9, 2024 (commencement) through December 31, 2025, in accordance with accounting principles generally accepted in the United States of America.

### Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

### The General Partner's Responsibility for the Financial Statements

The General Partner is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the General Partner is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

## **Auditor's Responsibilities for the Audit of the Financial Statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by the General Partner, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings and certain internal control related matters that we identified during the audit.

*Frank, Rimmerman & Co. LLP*

San Francisco, California  
March 17, 2026

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnerships)**  
**Statement of Assets, Liabilities and Partners' Capital**  
**December 31, 2025**

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| ASSETS                                             |                       |
|----------------------------------------------------|-----------------------|
| Investments, at fair value (cost of \$115,972,310) | \$ 115,972,310        |
| Cash and Cash Equivalents                          | 21,635,488            |
| Contributions Receivable                           | <u>703,597</u>        |
| Total assets                                       | <u>138,311,395</u>    |
| LIABILITIES                                        |                       |
| Due to Related Parties                             | <u>849,658</u>        |
| Total liabilities                                  | <u>849,658</u>        |
| Net assets                                         | <u>\$ 137,461,737</u> |
| Commitments (Notes 5 and 6)                        |                       |
| Net Assets Represented by Partners' Capital        |                       |
| Contributed capital                                | \$ 141,554,463        |
| Net investment loss                                | <u>(4,092,726)</u>    |
| Total partners' capital                            | <u>\$ 137,461,737</u> |

See Notes to Financial Statements

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnerships)**  
**Schedule of Portfolio Investments**  
**December 31, 2025**

|                                             | Industry                | Country | Shares    | Privately Held Investments |                       | Net Unrealized<br>Appreciation<br>(Depreciation) |
|---------------------------------------------|-------------------------|---------|-----------|----------------------------|-----------------------|--------------------------------------------------|
|                                             |                         |         |           | Cost                       | Fair Value            |                                                  |
| Base Power, Inc. *                          | Utilities               | USA     |           |                            |                       |                                                  |
| Series C Preferred Stock                    |                         |         | 170,027   | \$ 19,999,953              | \$ 19,999,953         | \$ -                                             |
| Bending Spoons S.p.A                        | Artificial Intelligence | Italy   |           |                            |                       |                                                  |
| Class X-2 Common Stock                      |                         |         | 56,153    | 4,977,072                  | 4,977,072             | -                                                |
| Bernard Labs, Inc.                          | Technology              | USA     |           |                            |                       |                                                  |
| Simple Agreement for Future Equity          |                         |         | -         | 100,000                    | 100,000               | -                                                |
| Cognition AI, Inc. *                        | Artificial Intelligence | USA     |           |                            |                       |                                                  |
| Series C-1 Preferred Stock                  |                         |         | 63,649    | 4,999,947                  | 4,999,947             | -                                                |
| Class A Common Stock                        |                         |         | 63,649    | 4,999,947                  | 4,999,947             | -                                                |
|                                             |                         |         |           | <u>9,999,894</u>           | <u>9,999,894</u>      | <u>-</u>                                         |
| Debtsty Holdings, Inc. (dba January Inc.) * | Technology              | USA     |           |                            |                       |                                                  |
| Series C Preferred Stock                    |                         |         | 115,056   | 1,340,346                  | 1,340,346             | -                                                |
| Series C-1 Preferred Stock                  |                         |         | 2,030,964 | 23,659,654                 | 23,659,654            | -                                                |
| Common Stock                                |                         |         | 102,580   | 1,194,998                  | 1,194,998             | -                                                |
|                                             |                         |         |           | <u>26,194,998</u>          | <u>26,194,998</u>     | <u>-</u>                                         |
| Fortell Research Inc. *                     | Technology              | USA     |           |                            |                       |                                                  |
| Series C Preferred Stock                    |                         |         | 863,994   | 10,000,000                 | 10,000,000            | -                                                |
| General Medicines Inc. *                    | Healthcare              | USA     |           |                            |                       |                                                  |
| Series B-1 Preferred Stock                  |                         |         | 611,025   | 20,200,499                 | 20,200,499            | -                                                |
| Lone Palm Labs, Inc.                        | Technology              | USA     |           |                            |                       |                                                  |
| Series A Preferred Stock                    |                         |         | 131,804   | 999,997                    | 999,997               | -                                                |
| Physical Intelligence (Pi), Inc. *          | Manufacturing           | USA     |           |                            |                       |                                                  |
| Series B Preferred Stock                    |                         |         | 36,824    | 9,999,900                  | 9,999,900             | -                                                |
| Ridgeline, Inc. *                           | Information Technology  | USA     |           |                            |                       |                                                  |
| Series D Preferred Stock                    |                         |         | 2,803,507 | 12,499,997                 | 12,499,997            | -                                                |
| Balances, carried forward                   |                         |         |           | <u>\$ 114,972,310</u>      | <u>\$ 114,972,310</u> | <u>\$ -</u>                                      |

(continued)

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnerships)**  
**Schedule of Portfolio Investments (continued)**  
**December 31, 2025**

|                                                 | Industry   | Country | Shares  | Investments                  |                              | Net Unrealized<br>Appreciation<br>(Depreciation) |
|-------------------------------------------------|------------|---------|---------|------------------------------|------------------------------|--------------------------------------------------|
|                                                 |            |         |         | Cost                         | Fair Value                   |                                                  |
| Balances, brought forward                       |            |         |         | \$ 114,972,310               | \$ 114,972,310               | \$ -                                             |
| Witan Labs, Inc.                                | Technology | USA     |         |                              |                              |                                                  |
| Series Seed Preferred Stock                     |            |         | 413,223 | 1,000,000                    | 1,000,000                    | -                                                |
| <b>Total Investments (84.37% of net assets)</b> |            |         |         | <u><u>\$ 115,972,310</u></u> | <u><u>\$ 115,972,310</u></u> | <u><u>\$ -</u></u>                               |

\* Represents investments greater than 5% of net assets

The following table summarizes the investments as a percentage of net assets by country:

| Country                        | % of Net Assets |
|--------------------------------|-----------------|
| United States of America (USA) | 80.75%          |
| Italy                          | 3.62%           |
|                                | <u>84.37%</u>   |

The following table summarizes the investments as a percentage of net assets by industry:

| Industry                | % of Net Assets |
|-------------------------|-----------------|
| Artificial Intelligence | 10.90%          |
| Healthcare              | 14.70%          |
| Information Technology  | 9.09%           |
| Manufacturing           | 7.27%           |
| Technology              | 27.86%          |
| Utilities               | 14.55%          |
|                         | <u>84.37%</u>   |

See Notes to Financial Statements

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnerships)**  
**Statement of Operations**  
**For the Period from December 9, 2024 (commencement) through December 31, 2025**

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|                                                      |                              |
|------------------------------------------------------|------------------------------|
| Interest Income                                      | \$ 91,668                    |
| Expenses                                             |                              |
| Management fee                                       | 3,897,173                    |
| Organizational expenses                              | 39,679                       |
| Professional fees and other expenses                 | <u>247,542</u>               |
| Total expenses                                       | <u>4,184,394</u>             |
| Net investment loss                                  | <u>(4,092,726)</u>           |
| Net decrease in net assets resulting from operations | <u><u>\$ (4,092,726)</u></u> |

See Notes to Financial Statements

**Positive Sum Capital III, L.P.**

**(A Delaware Limited Partnerships)**

**Statement of Changes in Partners' Capital**

**For the Period from December 9, 2024 (commencement) through December 31, 2025**

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|                                           | General<br>Partner | Limited<br>Partners   | Total                 |
|-------------------------------------------|--------------------|-----------------------|-----------------------|
| Balances, December 9, 2024 (commencement) | \$ -               | \$ -                  | \$ -                  |
| Contributed capital                       | -                  | 141,554,463           | 141,554,463           |
| Net investment loss                       | -                  | (4,092,726)           | (4,092,726)           |
| Balances, December 31, 2025               | <u>\$ -</u>        | <u>\$ 137,461,737</u> | <u>\$ 137,461,737</u> |

See Notes to Financial Statements

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnerships)**  
**Statement of Cash Flows**  
**For the Period from December 9, 2024 (commencement) through December 31, 2025**

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Cash Flows from Operating Activities

|                                                                                                                         |                      |
|-------------------------------------------------------------------------------------------------------------------------|----------------------|
| Net decrease in net assets resulting from operations                                                                    | \$ (4,092,726)       |
| Adjustments to reconcile net decrease in net assets resulting from operations to net cash used in operating activities: |                      |
| Purchase of investments                                                                                                 | (115,972,310)        |
| Change in operating assets and liabilities:                                                                             |                      |
| Due to related parties                                                                                                  | 849,658              |
| Net cash used in operating activities                                                                                   | <u>(119,215,378)</u> |

Cash Flows from Financing Activities

|                                           |                    |
|-------------------------------------------|--------------------|
| Contributed capital                       | <u>140,850,866</u> |
| Net cash provided by financing activities | <u>140,850,866</u> |
| Net increase in cash and cash equivalents | 21,635,488         |

|                                                            |                             |
|------------------------------------------------------------|-----------------------------|
| Cash and Cash Equivalents, December 9, 2024 (commencement) | <u>-</u>                    |
| Cash and Cash Equivalents, December 31, 2025               | <u><u>\$ 21,635,488</u></u> |

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Supplemental Schedule of Non-Cash Financing Activity

|                                      |                          |
|--------------------------------------|--------------------------|
| Increase in contributions receivable | <u><u>\$ 703,597</u></u> |
|--------------------------------------|--------------------------|

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnership)**  
**Notes to Financial Statements**

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1. The Partnership

Positive Sum Capital III, L.P. (the Partnership) is a Delaware limited partnership that was formed on June 3, 2024 and commenced operations on December 9, 2024 (commencement). The primary purpose of the Partnership is achieving long-term capital appreciation through active management of a portfolio of equity investments in early to growth-stage technology companies, principally located in the United States.

The Partnership is scheduled to terminate on April 7, 2035, unless terminated sooner or extended in accordance with the Limited Partnership Agreement (the Agreement). The Partnership is managed by Positive Sum Advisors LLC (the General Partner), a Connecticut Limited Liability Company. The General Partner may, in its sole discretion, extend the term of the Partnership for up to two additional one-year periods.

The Partnership's committed capital is \$270,700,000.

2. Significant Accounting Policies

*Basis of Financial Statement Presentation:*

The Partnership prepares its financial statements under the accrual method of accounting in accordance with accounting principles generally accepted in the United States of America (US GAAP). The Partnership is an investment company and follows the investment company accounting and reporting guidance of the Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) Topic 946 *Financial Services – Investment Companies*.

*Cash and Cash Equivalents:*

The Partnership considers all highly liquid investments purchased with a maturity date of three months or less to be cash equivalents. At December 31, 2025, cash and cash equivalents are held at financial institutions and are subject to credit risk to the extent those balances exceed applicable Federal Deposit Insurance Corporation or Securities Investor Protection Corporation limitations.

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnership)**  
**Notes to Financial Statements**

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2. Significant Accounting Policies (continued)

*Use of Estimates:*

The preparation of financial statements in conformity with US GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and reported amounts of income and expenses during the reporting period. Significant estimates established by the Partnership's management consist of valuations of investments in non-marketable securities. The values assigned to investments by the Partnership's management are considered to be the amounts that could be realized from an orderly sale or other disposition of the investments. Actual results could differ from those estimates and the differences may be material.

*Foreign Currency Translation:*

The Partnership uses the US dollar as its functional currency. Assets and liabilities denominated in foreign currencies are translated into US dollars based on the rate of exchange of such currency against the US dollar on the date of valuation. The Partnership's investments in foreign securities may involve certain risks including; foreign exchange restrictions, taxation, economic risks, all of which could affect the market and/or credit risk of the investment. In addition, changes in the relationship of foreign currencies to the US dollar can significantly affect the value of these investments and therefore the earnings of the Partnership. The Partnership does not isolate that portion of the results of operations resulting from changes in foreign exchange rates on investments from the fluctuations arising from changes in market prices of securities held. Such fluctuations are included with the net realized and unrealized gain or loss from investments.

*Valuation of Investments:*

Investments typically consist of investments in privately held equity securities and convertible equity instruments. Privately held securities are subject to restriction on resale and are carried at estimated fair value, as determined by the General Partner, after giving consideration to recent sales prices of issuers' securities, operating results, financial condition and other pertinent information. Because of the inherent uncertainty of valuations, however, estimated fair values may differ significantly from the values that would have been used had a ready market for the securities existed, and the differences could be material. The Partnership may also have risk associated with its concentration of investments in certain geographic areas and certain industries.

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnership)**  
**Notes to Financial Statements**

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2. Significant Accounting Policies (continued)

*Valuation of Investments:* (continued)

The Partnership uses a three-level hierarchy for fair value measurements based on the nature of inputs used in the valuation of an asset or liability as of the measurement date. The three-level hierarchy prioritizes within the measurement of fair value, the use of market-based information over entity-specific information. Fair value focuses on an exit price and is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The inputs or methodology used for valuing securities are not necessarily an indication of the risk associated with investing in those securities.

The three-level hierarchy for fair value measurements is defined as follows:

**Level I:** Inputs to the valuation methodology are quoted prices (unadjusted) for identical assets or liabilities in active markets.

**Level II:** Inputs to the valuation methodology include quoted prices for similar assets and liabilities in active markets, and inputs that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the financial instrument.

**Level III:** Inputs to the valuation methodology, which are significant to the fair value measurement, are unobservable.

An investment's categorization within the fair value hierarchy is based upon the lowest level of input that is significant to the fair value measurement.

Level III Valuation Techniques

The valuation of non-public investments requires significant judgment by the General Partner due to the absence of quoted market values, inherent lack of liquidity and the long-term nature of such assets. A variety of factors are reviewed by the General Partner, including, but not limited to, financing and sales transactions with third parties, current operating performance and future expectations of the particular investment, changes in market outlook and the third party financing environment. Investments for which market prices are not observable include private investments in equity and convertible equity instruments of operating companies.

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnership)**  
**Notes to Financial Statements**

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2. Significant Accounting Policies (continued)

*Valuation of Investments:* (continued)

Level III Valuation Techniques (continued)

*Private equity investments* – The fair value of private equity investments is valued initially based upon transaction price and may continue to be valued at cost for a period after acquisition, as this has been determined to be the best indicator of fair value. The fair values of private equity instruments are determined by reference to projected earnings multiples, the discounted cash flow method, public market or private transactions, valuations for comparable companies and other measures which, in many cases, are unaudited at the time received. Valuations may be derived by reference to observable valuation measures for comparable companies or transactions (e.g. multiplying a key performance metric of the investee company by a relevant valuation multiple observed in the range of comparable companies or transactions), adjusted by the General Partner for differences between the investment and the referenced comparable, and in some instances by reference to option pricing models or other similar methods.

*Convertible equity instruments (CEIs)* – The fair value of CEIs is estimated based on their net realizable value as determined by the General Partner after giving consideration to the terms of the agreement and conversion factors. CEIs include various types of instruments including Simple Agreements for Future Equity (SAFE), Keep it Simple Securities (KISS), Warrants and Convertible Equity Agreements.

*Gains or Losses on Investments:*

Realized gains or losses on investments represent the difference between the cost of the investments and the related price on the date of sale, distribution or disposal. When investment securities are sold or distributed to the partners, gains or losses are classified as realized. The difference between the original cost and the estimated fair value of investments owned at the end of the period represents cumulative unrealized gain or loss.

*Allocation of Profits and Losses:*

Under the terms of the Agreement, profits and losses are allocated in a manner consistent with the amount partners would receive as distributions if the Partnership were to liquidate at the last day of such period.

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnership)**  
**Notes to Financial Statements**

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2. Significant Accounting Policies (continued)

*Distributions:*

Except as otherwise expressly provided in the Agreement, current income of the Partnership received in cash, net of Partnership expenses, shall be distributed at least semiannually, and cash proceeds generated from the disposition of Partnership investments generally will be distributed to partners as soon as practicable after receipt thereof by the Partnership, but in any event within 90 days after such receipt; provided, that in each case, the General Partner may retain amounts in the Partnership that it deems prudent for reserves to meet future expenses or liabilities of the Partnership. Distributions of distributable proceeds (other than liquidating distributions) shall be made to the Partners on a cumulative basis as follows, with respect to each such distribution:

- i) First, 100% to all partners (other than any Defaulting Partner, as defined in the Agreement) in proportion to their respective contributions, to the extent necessary so that each such partner has received cumulative aggregate distributions (including all prior distributions of distributable proceeds made pursuant to this paragraph) equal to such partner's aggregate capital contributions previously made by such partner.
- ii) Thereafter, an amount equal to the distributable proceeds remaining after deduction of the amount of any distributions of distributable proceeds made pursuant to the preceding paragraph shall be distributed (i) 80% to all partners, in proportion to their respective capital contributions; and (ii) 20% to the General Partner.

*Income Taxes:*

Income taxes on Partnership income are the responsibility of the individual partners; accordingly, no provision for income taxes is included in the accompanying financial statements. Partners' capital reflected in the accompanying financial statements does not necessarily represent the partners' tax basis of their respective interests.

The Partnership recognizes the tax benefits of uncertain tax positions only where the position is "more likely than not" to be sustained assuming examination by tax authorities. The General Partner has analyzed the tax positions and has concluded that no liability for unrecognized tax benefits should be recorded related to uncertain tax positions taken in the Partnership's tax returns. The Partnership does not anticipate any significant increases or decreases of unrecognized tax benefits during the next twelve months.

The Partnership recognizes interest and, if applicable, penalties for any uncertain tax positions. Interest and penalty expense will be recorded as a component of income tax expense. No interest or penalties were recorded during the period from December 9, 2024 (commencement) through December 31, 2025, or accrued for as of December 31, 2025.

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnership)**  
**Notes to Financial Statements**

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2. Significant Accounting Policies (continued)

*Income Taxes:* (continued)

Generally, the federal statute of limitations for partnerships is three years after the later of (i) the date the Partnership's return was filed or (ii) the last day for filing the return. State statutes are generally three to four years. As such, the Partnership remains subject to federal and state income tax examinations since inception.

*Organizational Expenses:*

Organizational expenses incurred in the formation of the Partnership are expensed when incurred and included on the statement of operations. These expenses consist of legal, accounting and other expenses incurred in connection with the organization of the Partnership and shall not exceed \$150,000 pursuant to the Agreement. Organizational expenses of \$39,679 have been incurred through December 31, 2025.

*Recent Accounting Pronouncement Not Yet Effective:*

In December 2023, the FASB issued Accounting Standards Update (ASU) 2023-09, *Income Taxes (Topic 740): Improvements to Income Tax Disclosures* (2023-09). The standard requires the annual financial statements to include income taxes paid disaggregated by jurisdiction and is effective for the Partnership's annual reporting periods beginning after December 15, 2025. Adoption is either with a prospective method or a fully retrospective method of transition and early adoption is permitted. The Partnership has not early adopted the ASU and is currently assessing the impact of ASU 2023-09 on its financial statements.

3. Fair Value Measurements of Financial Instruments

The following table presents the financial instruments carried at fair value as of December 31, 2025 by the three-level valuation hierarchy:

|                   | Level I     | Level II    | Level III             | Total                 |
|-------------------|-------------|-------------|-----------------------|-----------------------|
| Preferred stock   | \$ -        | \$ -        | \$ 104,700,293        | \$ 104,700,293        |
| Common stock      | -           | -           | 11,172,017            | 11,172,017            |
| CEIs              | -           | -           | 100,000               | 100,000               |
| Total Investments | <u>\$ -</u> | <u>\$ -</u> | <u>\$ 115,972,310</u> | <u>\$ 115,972,310</u> |

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnership)**  
**Notes to Financial Statements**

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3. Fair Value Measurements of Financial Instruments (continued)

At December 31, 2025, fair value for items categorized in Level III of the fair value hierarchy was based on quantitative unobservable inputs not internally developed. Such items include financial instruments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment. Significant increases (decreases) in any of these inputs in isolation would result in a significantly higher (lower) fair value measurement.

The table below presents the purchases of investments classified by the Partnership within Level III of the fair value hierarchy, during the period from December 9, 2024 (commencement) through December 31, 2025:

|           | <u>Preferred<br/>Stock</u> | <u>Common<br/>Stock</u> | <u>CEIs</u> | <u>Total</u>  |
|-----------|----------------------------|-------------------------|-------------|---------------|
| Purchases | \$104,700,293              | \$ 11,172,017           | \$ 100,000  | \$115,972,310 |

There were no fair value transfers into or out of Level III for the period from December 9, 2024 (commencement) to December 31, 2025.

4. Partners' Capital

The Partnership's committed capital is \$270,700,000 at December 31, 2025. Contributions of \$141,554,463 (52.29% of committed capital) have been called through December 31, 2025.

Committed capital is reconciled to partners' capital at December 31, 2025, as follows:

|                             | <u>General<br/>Partner</u> | <u>Limited<br/>Partners</u> | <u>Total</u>          |
|-----------------------------|----------------------------|-----------------------------|-----------------------|
| Committed capital           | \$ -                       | \$ 270,700,000              | \$ 270,700,000        |
| Less amount not yet called  | -                          | (129,145,537)               | (129,145,537)         |
| Contributed capital         | -                          | 141,554,463                 | 141,554,463           |
| Net investment loss         | -                          | (4,092,726)                 | (4,092,726)           |
| Balances, December 31, 2025 | <u>\$ -</u>                | <u>\$ 137,461,737</u>       | <u>\$ 137,461,737</u> |

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnership)**  
**Notes to Financial Statements**

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5. Management Fee and Other Partnership Expenses

The Agreement provides for the payment of a management fee to the General Partner. The management fee shall be made quarterly in advance on the first day of each fiscal quarter of the Partnership commencing upon on the initial closing date of the Partnership. The management fee shall equal 2.0% per annum of the aggregate subscriptions of all partners, calculated as of the last day of the previous fiscal quarter of the Partnership. Upon the expiration of the Investment Period, as defined in the Agreement, the annual management fee percentage shall be reduced to 1.0% per annum of the sum of all amounts invested by the Partnership in Portfolio Investments, as defined in the Agreement, as of the date of calculation. The Partnership incurred management fees totaling \$3,897,173 during the period from December 9, 2024 (commencement) through December 31, 2025, of which \$525,931 was payable to the General Partner as of December 31, 2025.

The General Partner bears all normal operating costs and expenses incurred in connection with the management of the Partnership. The Partnership bears all costs and expenses incurred in the purchase, holding, sale or exchange of securities. Such costs include interest on indebtedness incurred by the Partnership, organizational and syndication costs, and certain legal and accounting fees and other expenses, which are specifically defined in the Agreement.

6. Related Party Transactions

The Partnership considers the General Partner, its principal owners, members of management, and members of their immediate families, as well as entities under common control, to be related parties to the Partnership. Amounts due from and due to related parties are generally settled in the normal course of business without formal payment terms.

The Partnership has amounts payable to related parties for advances in the normal course of business. At December 31, 2025, the Partnership has payables of \$49,327 to the General Partner and \$274,400 to limited partners.

Certain limited partners are related parties of the Partnership. The aggregate value of limited partners' capital owned by related parties at December 31, 2025, is approximately \$2,637,061.

Members of the General Partner and certain limited partners serve as members of the boards of directors of certain investments.

**Positive Sum Capital III, L.P.**  
**(A Delaware Limited Partnership)**  
**Notes to Financial Statements**

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7. Risks and Uncertainties

The Partnership's investing activities expose their investments to various risks such as market risk, liquidity risk, and credit risk. Certain events particular to each industry in which the Partnership invests, as well as general economic and political conditions, may have a significant negative impact on the investment's operations and profitability. In addition, the Partnership is subject to changing regulatory and tax environments. Such events are beyond the Partnership's control, and the likelihood that they may occur cannot be predicted.

Investment Risks Related to Private Companies

Most of the Partnership's investments are private operating companies whose shares do not trade on established exchanges. While it is expected that these companies may pursue initial public offerings, trade sales, or other liquidation events, there are generally no public markets for these investments at the current time. The Partnership's ability to liquidate their private operating companies and realize value is subject to significant limitations and uncertainties.

Global Pandemic, Geopolitical, Economic and Market Conditions

Geopolitical risks from military conflict, international political strategy and escalating international tensions have contributed to uncertainty in the geopolitical and regulatory landscapes. Similarly, natural disasters, climate change-related events, and global pandemics or health crises may arise and be accompanied by governmental actions. Any such events and responses, including regulatory developments, may cause significant volatility and declines in the global markets, disproportionate impacts to certain industries or sectors, disruptions to commerce (including to economic activity, travel and supply chains), loss of life and property damage, and may adversely affect the global economy or capital markets.

The estimates and assumptions underlying these financial statements are based on the information available, including judgments about the financial market and economic conditions which may change over time.

8. Financial Highlights

The Partnership is required to disclose financial highlights for the common interest in the Partnership (i.e. the limited partners' interest). These financial highlights consist of the operating expenses and net investment loss ratios for the period from December 9, 2024 (commencement) through December 31, 2025, and the Internal Rate of Return (IRR) since inception of the limited partners, net of all fees and profit allocations (carried interest) to the General Partner, through December 31, 2025.

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8. Financial Highlights (continued)

The following summarizes the limited partners' financial highlights:

|                                                                                                 |                      |
|-------------------------------------------------------------------------------------------------|----------------------|
| Average net assets for period from December 9, 2024<br>(commencement) through December 31, 2025 | <u>\$ 42,267,846</u> |
| Ratios to average net assets:                                                                   |                      |
| Net investment loss                                                                             | <u>(9.68)%</u>       |
| Operating expenses                                                                              | <u>(9.90)%</u>       |
| Carried interest                                                                                | <u>-%</u>            |
| Total operating expenses and carried interest                                                   | <u>(9.90)%</u>       |
| Cumulative IRR through December 31, 2025                                                        | <u>(9.06)%</u>       |

The net investment loss and operating expense ratios are computed as a percentage of average net assets. The total operating expenses and carried interest adjust the operating expenses before carried interest calculation for the General Partner's carried interest.

The IRR was computed based on the monthly cash inflows (capital contributions), outflows (cash and stock distributions), and the ending net assets at the end of the period (residual value) of the limited partners' capital account as of each measurement date.

The information reflected above is calculated for the limited partners taken as a whole. An individual partner's results may vary based on a variety of factors, including the timing of capital transactions and different fee arrangements.

These financial highlights may not be indicative of the future performance of the Partnership.

9. Subsequent Events

Subsequent events have been evaluated through March 17, 2026, the date the financial statements were available to be issued. In 2026, the Partnership received additional capital commitments, increasing the total committed capital to \$300,700,000. The financial statements have not been modified for this event.

No other items have been noted that would require adjustment to the financial statements or require additional disclosures.